

Bitcoin decentralised money, which is exactly what Decentralised Finance or DeFi is all about. In this chapter, we will discuss DeFi in detail. Without any further ado, let's get started!

What is DeFi?

Decentralised finance, or DeFi, is a system that uses technology to remove mediators or intermediaries between two parties involved in a transaction. DeFi is a term given to financial services with no central authority or someone in charge, just like a cryptocurrency programmed for automated activities. The use of technology in financial institutions is common as most transactions are completed with the help of technology. However, companies still have to go through a long process and meet different standards to make the transaction possible.

DeFi is a term commonly used in cryptocurrencies and blockchain, however, its scope is much broader. DeFi uses a unique technology that disintermediates centralised models and promotes financial services anywhere at any time regardless of age or cultural identity. The DeFi app users have a higher degree of control over their transactions through the personal wallet and trading services that cater to the needs of every user.

Components of DeFi

The components of DeFi are more or less similar to the existing financial ecosystems, which means there's a need for stable currencies. These components are the building blocks in the form of stable coins or services like other crypto services.

The primary components of DeFi are:

1. Lending and borrowing

With DeFi lending, investors have the opportunity to earn interests by depositing fiat money through a decentralised application. Any business or individual can borrow money through a well-defined network and pay interest on it. These transactions do not include a middleman, eliminating the additional fee or charges for taking a loan. Apart from saving money, the process is less time consuming as it minimises lengthy paperwork. The most common platform for lending and borrowing is Current.

2. Stable coins

Some cryptos like Bitcoin and Ethereum are highly volatile in nature, which